tazdan

03 · REVENUE AND PRICING

Revenue models and pricing

How Tazdan earns money: the FX margin, transfer fees, business accounts and payment-operations software. Includes the pricing rules that keep each stream inside its approved limits.

Investor pack	Date	Status
Document 03	October 2026	Confidential · for discussion

Prepared by the founder of Tazdan for prospective investors. This document is not an offer to sell or a solicitation to buy securities. Forecasts are planning estimates, not promises. Licences, banking partners and live payment rails are not yet in place; status labels throughout show what is built, what awaits a partner, and what is switched off in production.

SUMMARY

Two engines: consumer volume and business software

Consumers bring volume. They pay a small, visible margin on currency conversion and cross-border transfers. Institutions bring margin: they pay for pilots, rollouts and annual subscriptions to Tazdan's payment-operations software. The base case grows total revenue to $3.35M in year 5, and recurring software makes up more than half of it.

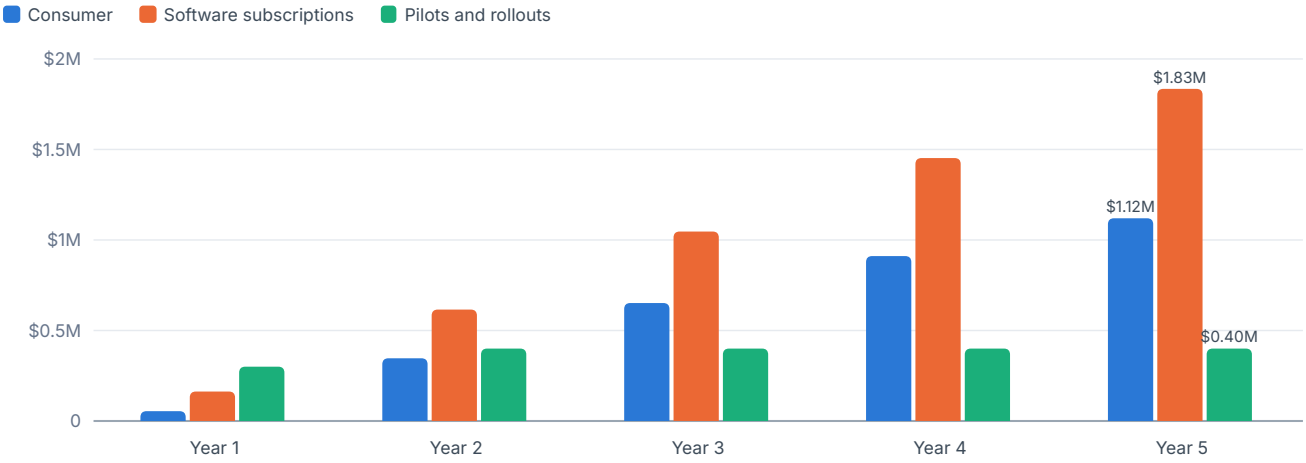
$3.35M
Base-case revenue, year 5

0.45%
All-in consumer charge on a transfer (base pricing)

$1.98M
Software run-rate, end of year 5 (base)

0.50%
Provisional all-in pricing guardrail

Base-case revenue by stream, USD



Source: Tazdan Integrated Financial Model, Base case. Pilot and rollout revenue is booked on accepted delivery, so it arrives in quarterly steps.

Consumers

Free payments between users pull people in. Revenue comes when money changes currency or crosses a border, at a margin shown before confirmation.

Institutions

Banks and payment providers license the operations software Tazdan built for itself. Pilots lead to rollouts and then to annual subscriptions.

Later streams

Business payouts, P2P, cards and digital assets are built. They switch on as partners and approvals arrive and are not counted in the forecast.

STREAMS AND PRICES

What each stream charges

STREAM	HOW IT EARNS	PROPOSED LAUNCH PRICE	STATUS	IN FORECAST
Transfers and conversion	A small explicit fee plus an FX margin over the reference rate, both shown before the customer confirms.	0.10% fee + 0.35% FX margin = 0.45% all-in	Awaits FX permission	Yes
Cross-border corridors	Per-corridor fixed fee, percentage fee and FX spread, set per corridor in the Control Cockpit.	Repriced to within the 0.50% guardrail	Sandbox · partner pending	Yes
Payment-operations software	Reconciliation, exceptions, treasury visibility and approvals sold to banks and payment providers.	$25k pilot · $75k rollout · $120k a year	Built · first buyer pending	Yes
Business accounts	Bulk payouts, approvals, API access and webhooks for companies paying staff and suppliers.	Free to open; per-payout pricing after launch	Built	No (upside)
P2P marketplace	A taker fee deducted from escrow at release. No fee is taken today.	To be set; shown before confirm	Off by default	No
Withdrawals	A flat fee per withdrawal, set by an administrator. The current setting is zero.	At cost	Built	No
Cards	Interchange and programme fees through a card issuer.	Issuer terms	Off until issuer signed	No
Digital-asset trading	A disclosed spread on buy and sell quotes (2.5% default).	Not offered at launch	Real-money trading off	No

Excluded on purpose: interest or yield earned on customer money. Customer balances belong to customers. They are not company revenue or working capital, and no float income is assumed anywhere in this pack.

Launch fee schedule (proposed)

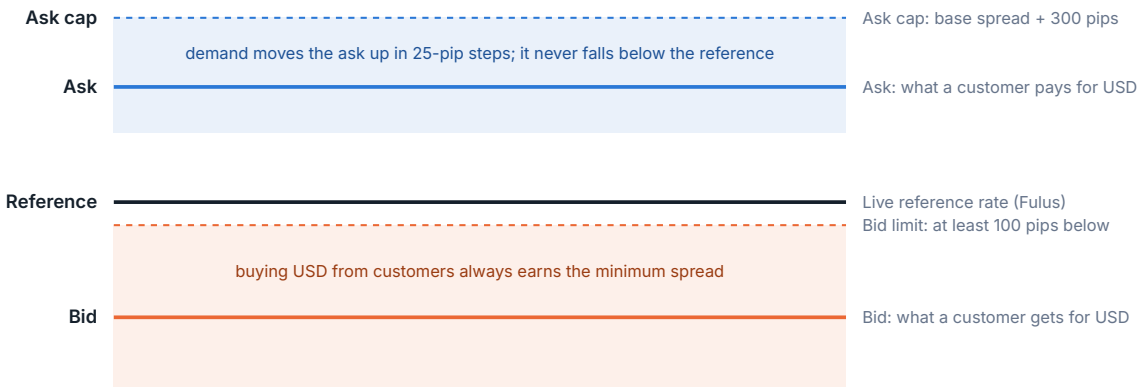
SERVICE	PRICE TO THE CUSTOMER	WHY
Payments between Tazdan users (@handle, phone, chat)	**Free**	Network growth: every payment brings the other person in
Claim links and payment requests	**Free**	The main viral loop: recipients join to claim
Receiving money, QR and payment link	**Free**	Merchants and freelancers adopt at no cost
Currency exchange	Spread up to 0.50% per side	Shown before confirm; set through approval
Cross-border transfer	0.10% fee + FX margin up to 0.35%	All-in at or below 0.45%, inside the guardrail
Withdrawal to a bank	At cost	No profit on access to your own money
Business account and bulk pay to Tazdan users	Free during launch	Payroll brings every employee onto the platform

All prices are proposals subject to regulatory approval. CBL circular 8/2026 addresses margins on FX sales; its scope for this business and any permitted separate charges still need confirmation. Until then, 0.50% all-in is the planning ceiling.

THE FX ENGINE

How a currency quote is built

Every Libyan dinar price comes from one two-sided quoting engine built around a live reference rate. The engine earns a spread on every conversion. Its rules stop the price drifting against customers, and its controls stop quoting when its information is stale.



Quote structure on USD/LYD. 1 pip = 0.0001 LYD. Distances are drawn to scale for the code defaults; launch settings must sit inside the approved margin.

Pricing rules (enforced in code)

- **Two-sided quote.** Ask = reference + half-spread (+ demand skew); bid = reference − half-spread (+ skew).
- **Floor.** The ask never falls below the reference rate, however strong selling pressure is.
- **Capped upside.** Demand can lift the ask by at most 300 pips above the base spread, in 25-pip steps, at no more than 50 pips a minute.
- **Minimum bid spread.** Buying USD from a customer always earns at least 100 pips.
- **Fair demand signal.** Skew needs at least three customers and $5,000 of net flow. A customer's round trips cancel out, and each customer's influence is capped at $5,000.

Controls

- **Stale reference.** After 15 minutes without a fresh reference the quote widens by 200 pips. After 60 minutes, LYD quoting stops.
- **Approval only.** Spread settings take effect only through an approved FX-override request, recorded in the audit log.
- **Kill switches.** Staff can halt the USD/LYD pair or every LYD pair at once from the Control Cockpit.
- **Disclosure.** The customer sees the rate, the spread and the amount received before confirming.

RATE MARGINS

Margin by spread setting

At an illustrative reference rate of 6.0000 LYD per USD, each 100 pips is 0.17% of the price. The code default of 500 pips per side is above the provisional 0.50% guardrail, so launch settings will be 300 pips or less unless a higher margin is approved.

HALF-SPREAD	PER-SIDE MARGIN	MARGIN PER $1,000 CONVERTED	$1M A MONTH	$5M A MONTH	$10M A MONTH	$25M A MONTH	$50M A MONTH
100 pips	0.17%	$1.67	$1,667	$8,333	$16,667	$41,667	$83,333
200 pips	0.33%	$3.33	$3,333	$16,667	$33,333	$83,333	$166,667
250 pips	0.42%	$4.17	$4,167	$20,833	$41,667	$104,167	$208,333
300 pips (guardrail)	0.50%	$5.00	$5,000	$25,000	$50,000	$125,000	$250,000
400 pips	0.67%	$6.67	$6,667	$33,333	$66,667	$166,667	$333,333
500 pips (code default)	0.83%	$8.33	$8,333	$41,667	$83,333	$208,333	$416,667

Gross margin before slippage, hedging and inventory risk. Greyed rows exceed the provisional guardrail. Reference rate is illustrative only and is not a CBL, Fulus or executable quote. Source: model sheet "Rate margins".

Worked example: one transfer, line by line

A customer sends LYD 6,000 to a recipient who is paid in US dollars. Base-case pricing applies: a 0.10% explicit fee plus a 0.35% FX margin. Everything the customer pays is shown before they confirm.

CUSTOMER VIEW	AMOUNT
Customer sends	LYD 6,000.00
Explicit fee (0.10%)	LYD 6.00
Converted	LYD 5,994.00
Customer rate (reference 6.0000)	6.0210
Recipient receives	**$995.52**
All-in cost to the customer	0.45%

COMPANY VIEW	USD
Explicit fee	$1.00
FX margin	$3.48
Partner revenue share (10%)	($0.45)
Payout rail cost	($1.70)
Expected losses	($0.30)
FX slippage	($0.40)
Contribution per transfer	**$1.64**

UNIT ECONOMICS

Consumer unit economics (base case)

$1.43
Contribution per active customer per month

$30
All-in cost to acquire a settled customer

$41
Indicative lifetime contribution (3.5% monthly attrition)

21 mo
Payback on acquisition cost (LTV/CAC 1.4×)

Read this honestly. At a 0.45% all-in price the consumer business is thin. It pays back its acquisition cost, but slowly. Its job in the plan is distribution: it builds volume, data and a trusted brand that institutions want to plug into. The margin in the base case comes from software. The levers below show how quickly the consumer line improves when its inputs move.

LEVER	CHANGE	EFFECT (BASE CASE)
Approved margin	+0.10% on the all-in price	+$0.25M revenue in year 5
Payout rail cost	−0.05% through better partner terms	+$0.14M contribution in year 5
Retention	Monthly attrition 3.5% → 2.5%	Lifetime contribution $41 → $57
Ticket size	+10% average transfer	+10% volume and consumer revenue

BUSINESS SOFTWARE

Payment-operations software

Banks, e-wallets and payment processors spend hours every day reconciling statements and chasing exceptions. Tazdan already runs that work for itself: reconciliation, an operations console, treasury controls, maker-checker approvals and an audit trail. The same modules are offered as a private deployment for one institution at a time.

STAGE	PRICE	BUYER RECEIVES	COLLECTION
Paid pilot	$25,000	One workflow and one statement format; read-only reconciliation and exception review with synthetic or redacted data	$10k at signed scope, $15k on acceptance
Production rollout	$75,000	Integration, isolated deployment, access configuration, training and acceptance	$30k / $30k / $15k by milestone
Annual subscription	$120,000	Non-exclusive use, maintenance and defined support for one deployment	Annually in advance (forecast assumes monthly)
First-year billings per customer	**$220,000**	**of which $120,000 is recurring**	

16.5
Subscribed institutions by end of year 5 (base, one new rollout a quarter)

30%
Direct cost of recurring delivery and support

$1.98M
Annual subscription run-rate, end of year 5

Prices are opening proposals, not observed market prices. No institution has signed yet. A first discovery list of licensed Libyan payment providers is kept for the sales track.